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All about LDBs and Cooperative Credit Societies

1. In 1920, first Land Mortgage Bank (LMB) was established in India. Land Mortgage Act was passed in 1930. These banks provided long term loans to farmers mainly for redemption of debt. After 1960 LMBs started financing productive projects like digging of wells, installation of pump sets, etc. Thereafter they were called Land Development Banks. In view of the broader role of LDBs they are now known as SCARDBs. Under the RBI control there is no land development in India today.
2. First Cooperative Societies Act was passed in 1961 by Tamil Nadu Government. In 1983, it was repealed and a new Act was passed. All Cooperative banks in Tamil Nadu are controlled by this Act.
3. If the area of operation of the bank extends to two or more states, they are registered under Multi State Cooperative Societies Act, 2002.
4. Primary Agricultural Credit Societies (92,789 - refer chart) in India do not carry the name banks and they are not recognised by the RBI as banks. These societies should not receive deposits from the public. Insurance cover provided by the RBI to deposits are not available for them from the Deposit Insurance and Credit Guarantee Corporation.

Examples:

i. Bank of America - The USA
ii. Barclays Bank - The UK
iii. Deutsche Bank - Germany

6. Regional Rural Banks - RRBs

The RRBs were formed under the Regional Rural Bank Act 1976, jointly by the Central Government, State Government, and a sponsor bank. Their share capital is contributed by these sponsors in the ratio of 50:15:35. They are established as low cost institutions in rural areas. Their objective is to develop rural economy and play supplementary role to cooperative societies. They mobilise deposits from the rural public and provide finance to rural artisans, small entrepreneurs and farmers and try to avoid their dependency on money lenders. As on 31.3.2016, there were 56 RRBs in India with 14,494 branches. They are regulated and supervised by NABARD.

Examples:

i. Pallavan Grama Bank, Salem, Tamil Nadu
ii. Pandian Grama Bank,Thirumangalam, Madurai Dirstict, Tamil Nadu
iii. Vallalar Grama Bank, Chidambaram, Cuddalore District, Tamil Nadu
iv. Paduvai Bharathiyar Grama Bank, Villiyanur, Puducherry.

7. Specialised Banks

Some banks are created for special purposes by the Government. Export and Import Bank of India was set up through Export-Import Bank of India Act, 1981. Its main objective is to facilitate international trade of